

SECTION A

QUESTION 1

2006 Dec 31	Dr. Prepaid insurance Cr. Insurance expense (to record prepaid insurance)	200	200
	Dr. Bad debt expense Cr. Accounts Receivable (to record write-off of accounts receivable)	650	650
	Dr. Miscellaneous expense Cr. Miscellaneous expense payable (to record miscellaneous expense payable)	250	250
	Dr. Depreciation expense - Van Cr. Accumulated depreciation – Van (20% x 10,000) (to record van depreciation expense)	2,000	2,000
	Dr. Depreciation expense – Office equipment Cr. Accumulated depreciation – Office equipment (10% x 15,000) (to record office equipment depreciation expense)	1,500	1,500

QUESTION 2

A)

Transaction	Cash +/-	Accounts Receivable +/-	Equipment +/-	=	Accounts Payable +/-	Expense Payable +/-	Capital Encik Hadif +/-
1	+ 30,000						+ 30,000
2			+ 5,000		+ 5,000		
3	- 1,000						- 1,000
4	- 2,000						- 2,000
5	- 500						- 500
6						+ 350	- 350
7	+ 6,000	- 6,000					
8	- 350					- 350	

B)

- Historical cost; land should be reported at the price it is bought which is RM270,000.
- Economic entity; owner's computer should not be reported as a business asset.
- Expense recognition; expense should be recorded when the transaction happens even though cash has not been paid.
- Full disclosure; any changes to depreciation method should be reported in the financial statements

QUESTION 3

A) i)

1. No, because it has been paid.
2. Yes, because the assignment will be completed in less than a year.
3. Yes, as a guarantee to current sales.
4. No, as it estimates the operating expenses of the business.
5. No, because more than a year.

ii)

- Must exist in the current state
- Must involve the outflow of resources in the future
- Must be able to determine its existence accurately
- Must be quantified.
- Duration must be known or estimated

SECTION B**QUESTION 1**

A) i)

Purnama Sdn Bhd
Bank reconciliation statement
As at January 31, 2007

	RM	RM
Balance per bank statement		10,315
(+) Deposits in Transit:		
Bona Bhd		2,530
		12,845
(-) Outstanding Cheques:		
No. 1085	(590)	
No. 1089	(120)	
No. 1090	(8,700)	
No. 1091	(240)	(9,650)
Adjusted Bank Balance		3,195
Balance per cash book		(380)
(+) Dividend	1,560	
Accounts Receivable	2,300	3,860
		3,480
(-) Bank service charge	(15)	
Accounts Payable (2,747 – 2,477)	(270)	(285)
Adjusted Cash Balance		3,195

ii)

2007 Jan 31	Dr Bank Cr. Dividend revenue	1,560	1,560
	Dr Bank Cr Accounts Receivable	2,300	2,300
	Dr Cheque book charges Cr Bank	15	15
	Dr Accounts Payable Cr Bank	270	270

B)

Julai 31	Dr Allowance for Doubtful Debt Cr Accounts Receivable	500	500
	Dr Bad debt expense Cr Allowance for Doubtful Debt	*1,490	*1,490

Accounts Receivable

Balance b/f	200,000	Allowance for Doubtful Debt	500
		Balance c/f	199,500
	<u>200,000</u>		<u>200,000</u>

Allowance for Doubtful Debt

Accounts Receivable	500	Balance b/f	3,000
Balance c/f (2% x 99,500)	3,990	Bad debt expense	*1,490
	<u>4,490</u>		<u>4,490</u>

QUESTION 2

i) Dr Interest expense (550,000 x 6% x 9/12) 24,750

Cr Interest payable 24,750

ii) Dr Warranty expenses (350,000 x 3%) 10,500

Cr Estimated Warranty Liability 10,500

SOALAN 3

i) a)

2006 Oct 9	Dr Vehicles Cr Bank	85,000	85,000
2007 March 30	Dr Office equipment (6,000 + 500) Cr Bank	6,500	6,500
Apr 25	Dr Vehicles (101,500 + 3,500) Cr Bank	105,000	105,000

* Facsimile machines are not recorded due to their purchase beyond accounting period from 1 July 2006 - 30 June 2007

b)	Accumulated Depreciation- Computer (at cost, annual basis):	
	From 1/10/13 – 30/6/14 5,500 x 10%	= 550
	From 1/07/14 – 30/6/15 No depreciation expense in year of disposal	-
	Total	<u>550</u>

Loss on disposal = Cash received - Book value
= Cash received - (Cost - Accumulated Depreciation)
= RM0 - (RM5,500 - RM550)
= RM4,950

2006 Dec 25	Dr Accumulated Depreciation - Office Equipment Dr Loss on disposal Kt Office Equipment	550 4,950	5,500
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c) Computation of Depreciation Expense - Vehicle (at cost, monthly basis):

Old = RM80,000 x 20% x 12/12 = 16,000
Van = RM85,000 x 20% x 9/12 = 12,750
Car = RM105,000 x 20% x 2/12 = 3,500
32,250

Computation of Depreciation Expense- Office equipment (at cost, annual basis):

Old = [(RM50,000 - RM5,500) x 10%] = 4,450
Photocopy machine = RM6,500 x 10% = 650
5,100

2007 June 30	Dr Depreciation Expense- Vehicles Cr Accumulated Depreciation - Vehicles	32,250	32,250
	Dt Depreciation Expense - Office equipment Cr Accumulated Depreciation - Office equipment	5,100	5,100

ii)

Pandan Indah Sdn Bhd
Statement of Financial Position (partial)
As at June 30, 2007

NON-CURRENT ASSETS		
Vehicles (80, 000 + 85,000 + 105,000)	270,000	
(-)Accumulated Depreciation (37,250 + 32,250)	(69,500)	200,500
Office equipment (50, 000 + 6, 500 – 5, 500)	51,000	
(-)Accumulated Depreciation (17,000 – 550 + 5,100)	(21,550)	29,450
		229,950